



Factor Update, February 28, 2026

The Factor Update serves – along with the @Factor_Members X feed – as snippets into the trading of the Factor LLC House Prop Account focused primarily on risk and trade management, trading processes and dealing with emotions

Current Factor Prop Account positions	
- Long two units of TPYP-etf - Long one unit of CHF futures - Long one unit of KC Wheat futures (chop chop) - Long one unit of 2-Yr T-Note futures	- Long one unit of CENX stock - Long one unit of 5-Yr Note futures - Long two units of PBJ-etf
Markets under consideration for New Initial Positions (NIPs)	
- Stock indexes - CHF futures - Bitcoin futures	- Heating Oil futures - Gold futures
Note: I express positions in relationship to the risk of total nominal capital taken on a trade. Each unit of a trade represents an initial trade risk of \$3,500 of so per \$1 million of total nominal capital. A two-unit trade represents a risk of \$7,000 per \$1M Nominal. The maximum risk taken on a trade is three units, or \$10.5k per \$1M nominal. 2026 Sequential Closed Trade NAV performance to date = 941 as of Feb 27	

Notice:

U.S. Bombs Iran

This edition of the Factor was written on Friday – with comments relative to Friday's closes. Dealer markets (not exchange-traded) in London on Saturday are sharply changed, with Gold up anywhere from \$125 to \$175 per oz., Crude up as much as \$6 and U.S. equities down 1% or more. Remember that a lot can change from expectations. See the chart below of Crude in 1991. This was my biggest overnight loss EVER. Be careful with stop-limit orders next week.



Assignment for the week

If you have X, watch this interview TWICE. Stan Druckenmiller is the single best trader alive today.
<https://x.com/compound248/status/2027561891577438508>



Watch *Hard Lessons*, as legendary investor Stan Druckenmiller sits down with Morgan Stanley's Iliana Bouzali, sharing how he would construct a portfolio if he had to start over today, why contrarianism is overrated, and which stock he regrets selling too early.



Hard Lessons: Stan Druckenmiller: Invest, then investigate

General market comments

A full scroll of all the futures markets throughout the week disclosed a few new weekly swing trade chart set-ups. I took action as needed.

As a reference, my sweetest spot set-ups are:

- Horizontal chart congestion (bottoms, tops, continuation patterns)
 - Right angled triangles
 - Rectangles
 - Cup and Handles
 - Head and Shoulders (continuation, failures, reversals)
- 8- to 26-weeks in duration (although mega patterns appear periodically)
- Flags and pennants in context of strong trends
- Less than 20% price range as a percentage of underlying value
- Up to three units are taken in each trade (**Weekly, Position and Trading** – each with 30 to 40 BPs of risk max)
- Generally I take profits at determined targets

These are the main cars this dog chases at breakout points. Of course, there are exceptions that I try to explain when they happen. It is my goal to frame the trades/potential trades presented in Factor Reports within this framework.

I enter trades based on an adjusted ATR breakout of pattern boundaries. Once in a trade my goal is to squeeze as much risk out of the trade as quickly as possible. I place capital preservation in a priority position over my opinion of a market or a chart.

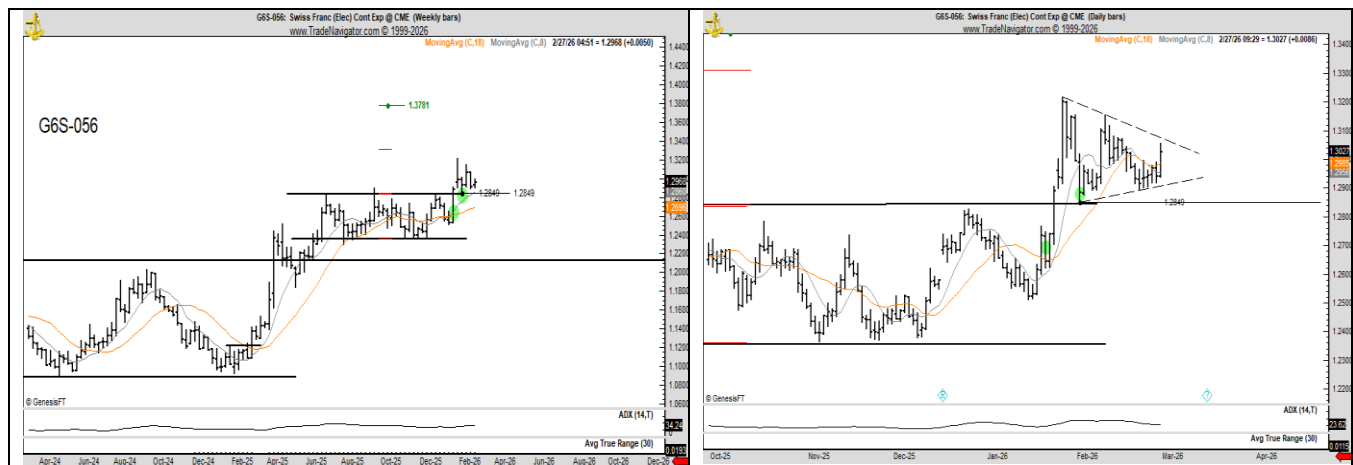
There will be a couple of changes to my trading planned for 2026 if I stay healthy and remain of good mind.

1. Weekly chart entries using Last Week Rule or LDR depending on risk, moving stop to BE and then staying until LWR/LDR stop out or with a selected moving average once 70% of target is reached.
2. Downplay the Prop Account and tactics on an ongoing basis but hopefully produce separate educational materials as the year progresses on rules for your own study and use. I want to create an environment whereby you all work through your own problems – the only way to learn. I want you to become fisherman on your own.

Markets with positions

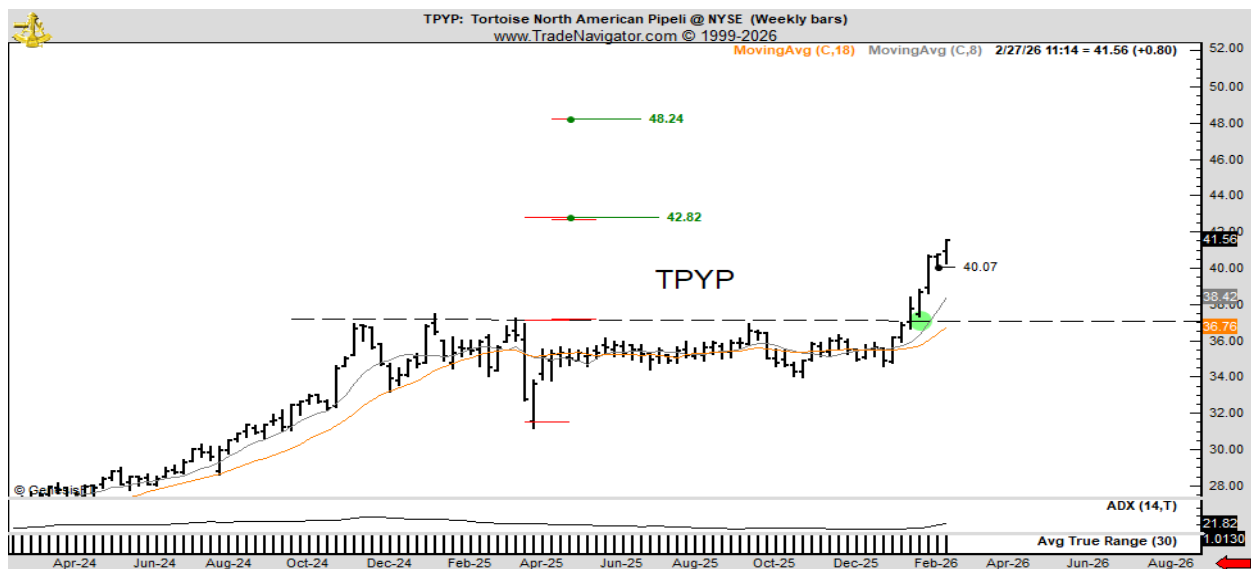
Swiss Franc futures

Position:	Long one unit (W)
Pattern(s) being traded	Horizontal 7-month rectangle completed Jan 23
Targeting	1.3781 and then 1.4218
Risk strategy	Feb 2 low for now, but if Feb 10 high is penetrated the risk anchor point will be the Feb 20 low
Comments	Daily chart is forming a 5-week pennant. I will consider adding a unit depending upon how the diagonal boundary is violated and the Feb 10 high is dealt with in price discovery



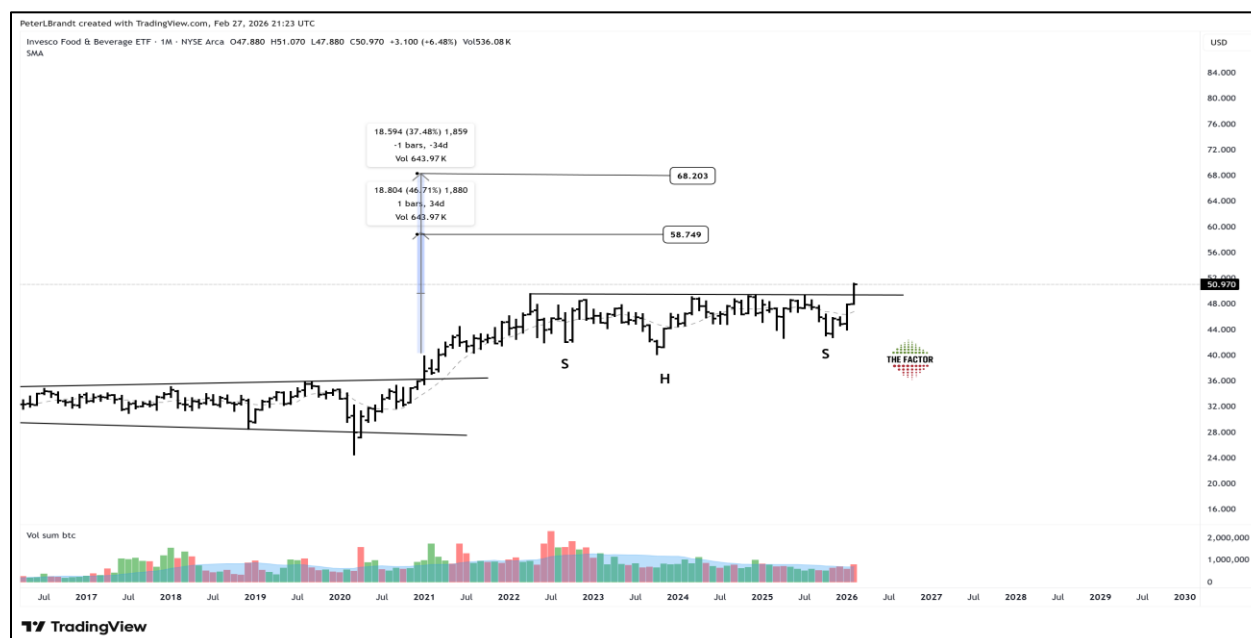
TPYP-etf

Position	Long two units (P and T)
Pattern(s) being traded	Horizontal 14-mo continuation inverted H&S
Targeting	42.82 and 48.24
Risk strategy	Past week's low and 8 WMA roll-over for now
Comments	Partial profits will be at the initial target. The further a trend goes, the more controlled I want my exit strategy to become



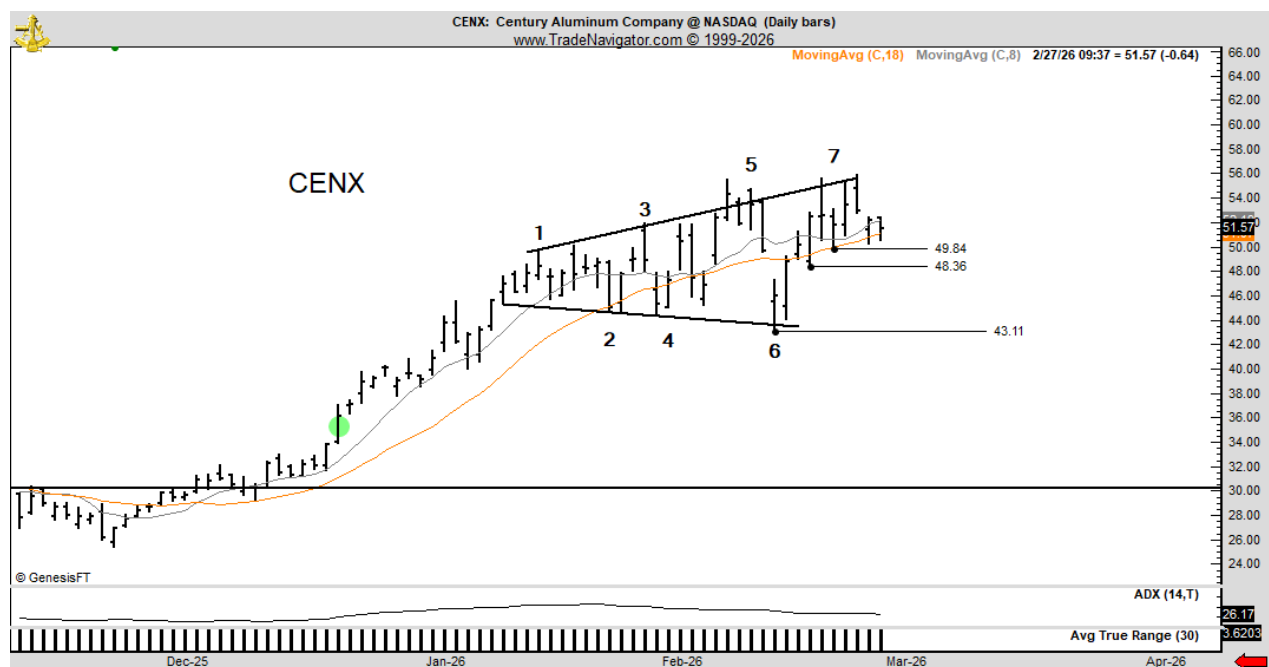
PBJ-etf

Position	Long two units (P and W)
Pattern(s) being traded	Horizontal 46-month continuation inverted H&S
Targeting	58.7 and 68.2
Risk strategy	Last week rule and last day rule for now
Comments	I typically do not trade such extended patterns, but the symmetry of this chart construction was remarkable and worthy of a risk position



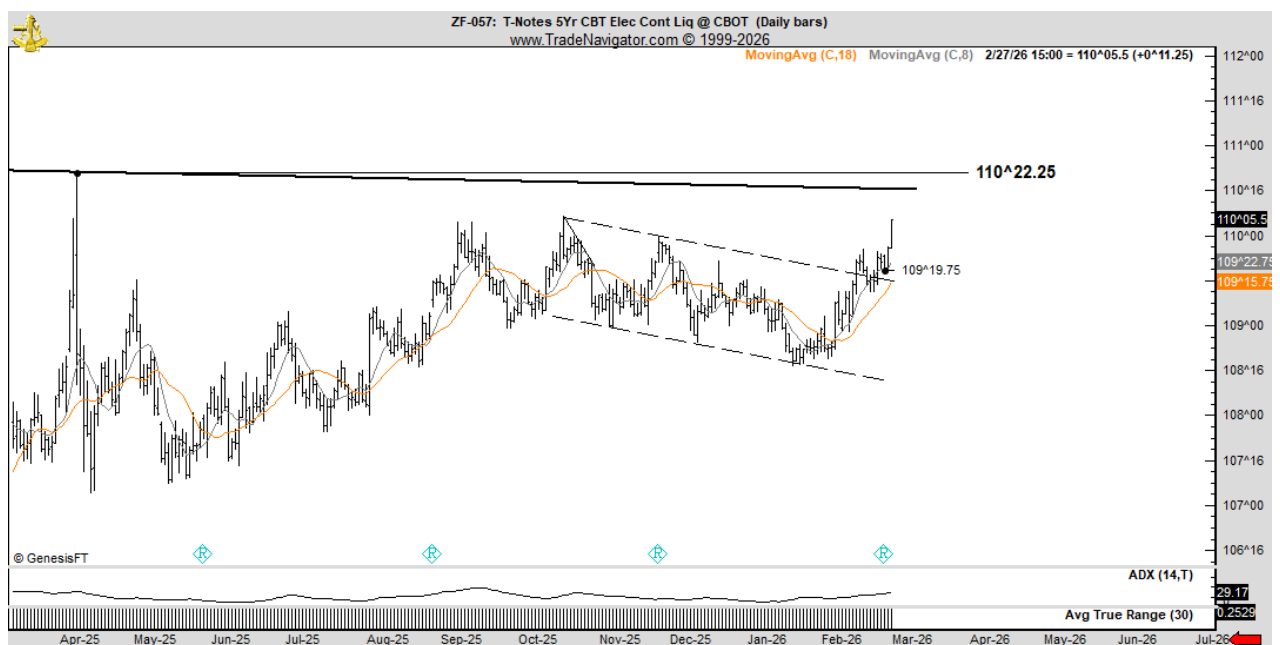
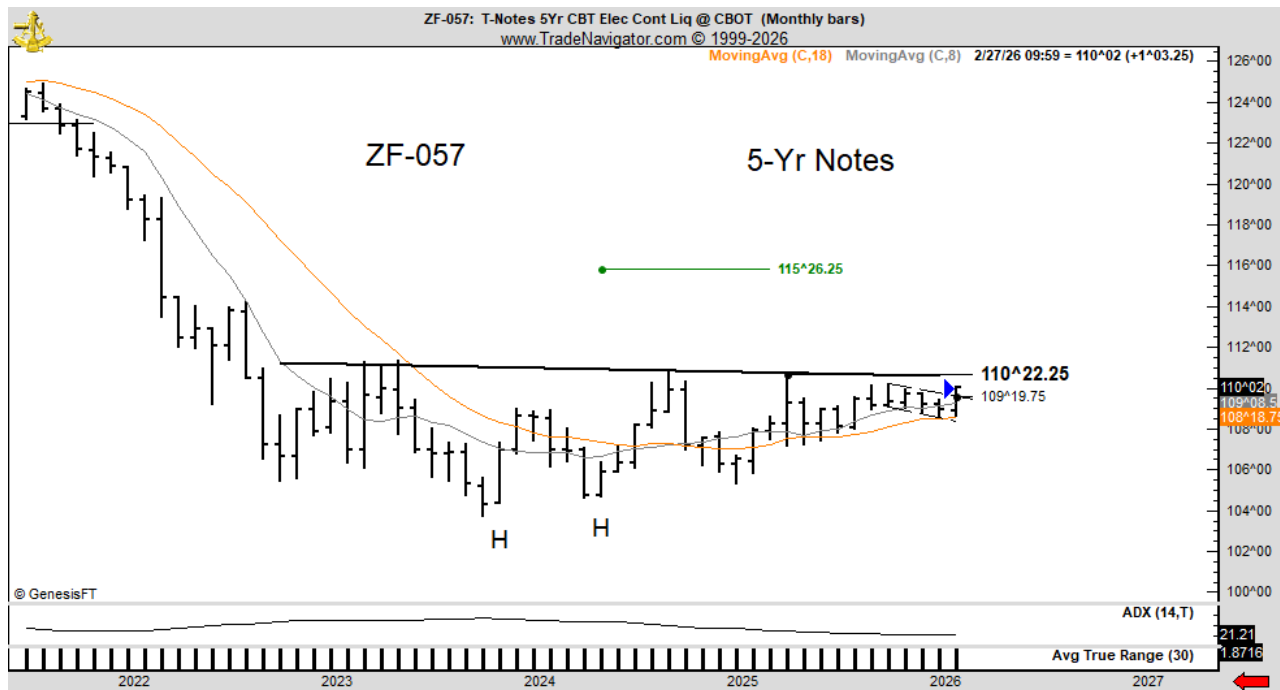
CENX-stock

Position	Long one unit (W) having taken profits on two units
Pattern(s) being traded	Horizontal 17-yr inverted continuation H&S. This current 7-week inverted triangle (megaphone) is interesting to watch unfold. This could be a continuation pattern – and I am willing to add a unit back to the trade if this is resolved to the upside
Targeting	79.97
Risk strategy	Weekly MA for now
Comments	I do not remember the last time I traded such a multi-year pattern – it might have been the DJIA back in 1982 when a 14-year continuation inverted H&S was completed. This really is this trade is my play on aluminum because the Aluminum futures contract do not have the volume I wanted to see



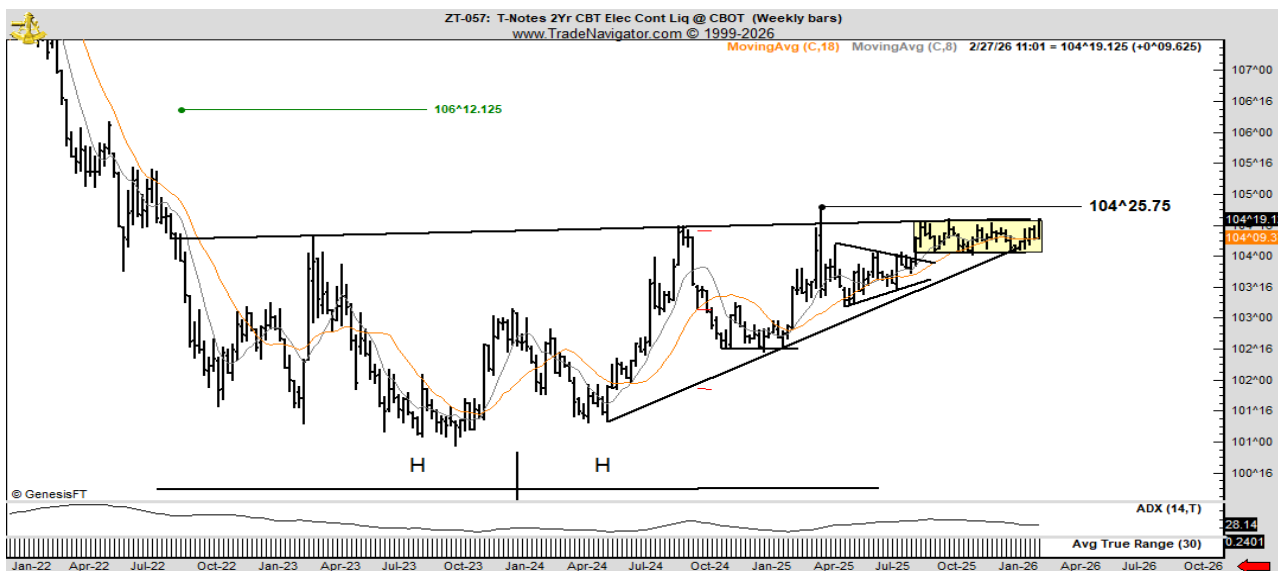
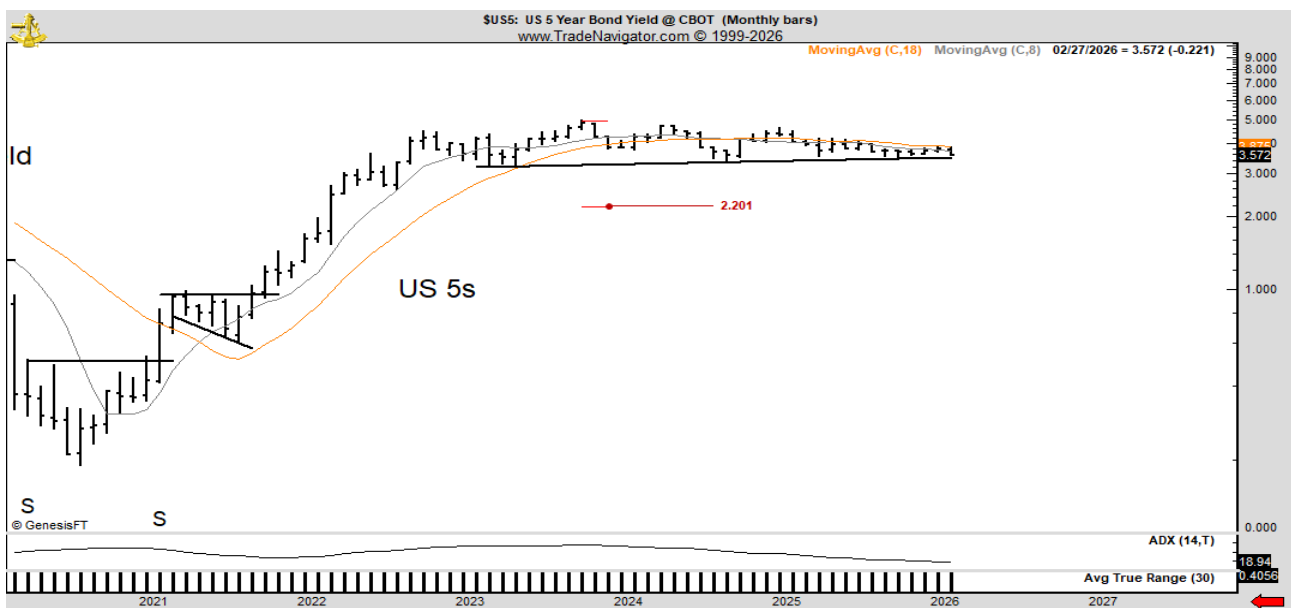
Treasury futures – 5-Yr Note

Position	Long one unit (T)
Pattern(s) being traded	Possible horizontal 41-mo inverted H&S on the weekly chart. The market broke out of a leading 4-mo diagonal channel this past week with a possible Brandt/Donchian Weekend Rule
Targeting	115^25/32nds
Risk strategy	I am playing this tight using the mid-week low as noted. I am not willing to give this trade much risk because the trend is not yet fully established
Comments	The Apr 2025 high is still in play and I will consider adding both W and P units if that high is exceeded. The Ts still need much work to confirm this trend



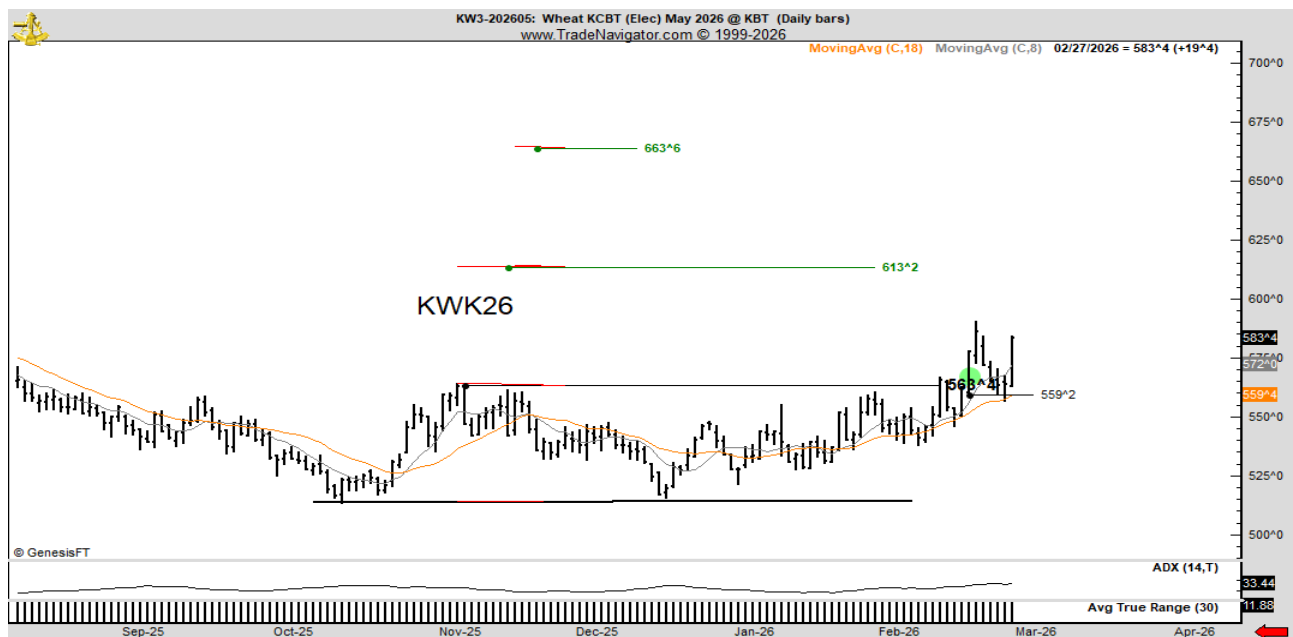
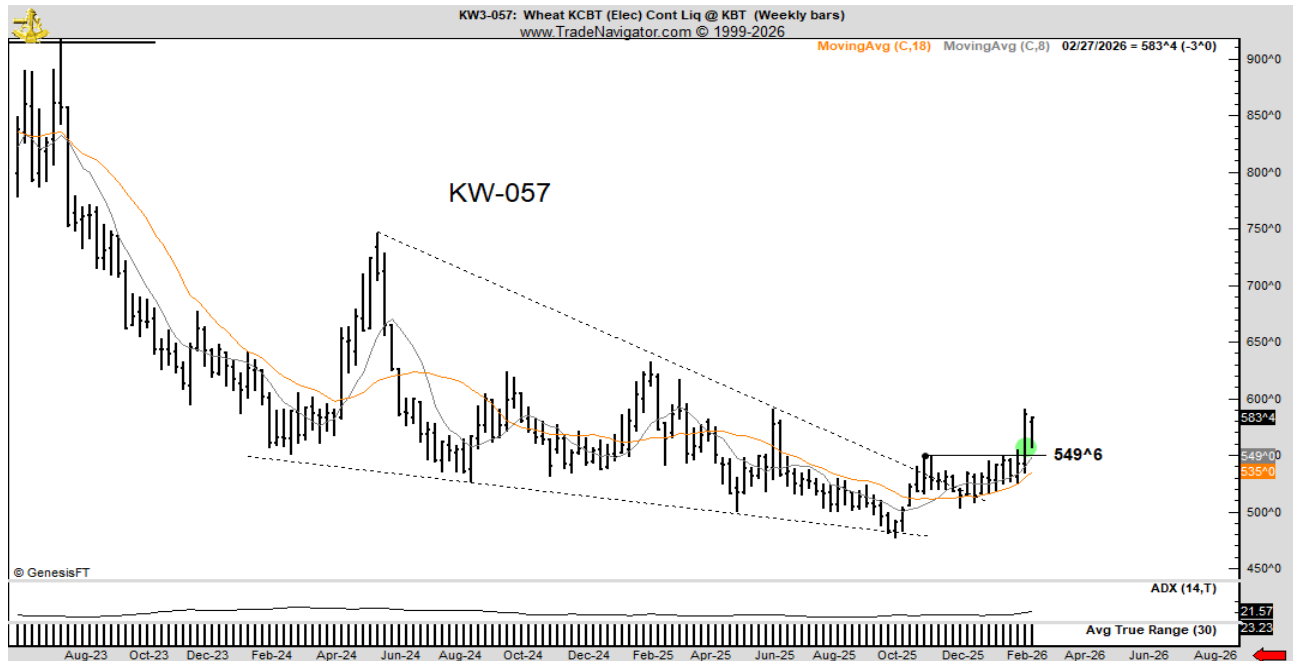
Treasury futures – 2-Yr Note

Position	Long one unit (P)
Pattern(s) being traded	Horizontal 41-mo inverted H&S. The trade was triggered by a horizontal 7-mo rectangle
Targeting	106^12
Risk strategy	Feb 20 low for now
Comments	- I have taken numerous stabs at the long side of Ts in the past year (all trades have been successful, but I have managed to make some small profits). This chart still needs to decisively close above the Oct 2025 high - My more decisive target is a yield of 2.2% as determined by a measured swing on the log scale of the spot 2-Yr note - I will be looking to add to this position if given an acceptable R:r set up - This market is at the upper end of a massive range. This trend still need confirmation. Confirmation will come with higher prices (lower yields) - A chart also shown is the Mar 2027 3-mo SOFR contract - The Ts across the yield curve have NOT NOT NOT fully broken out of the bottoms



Kansas City Wheat futures

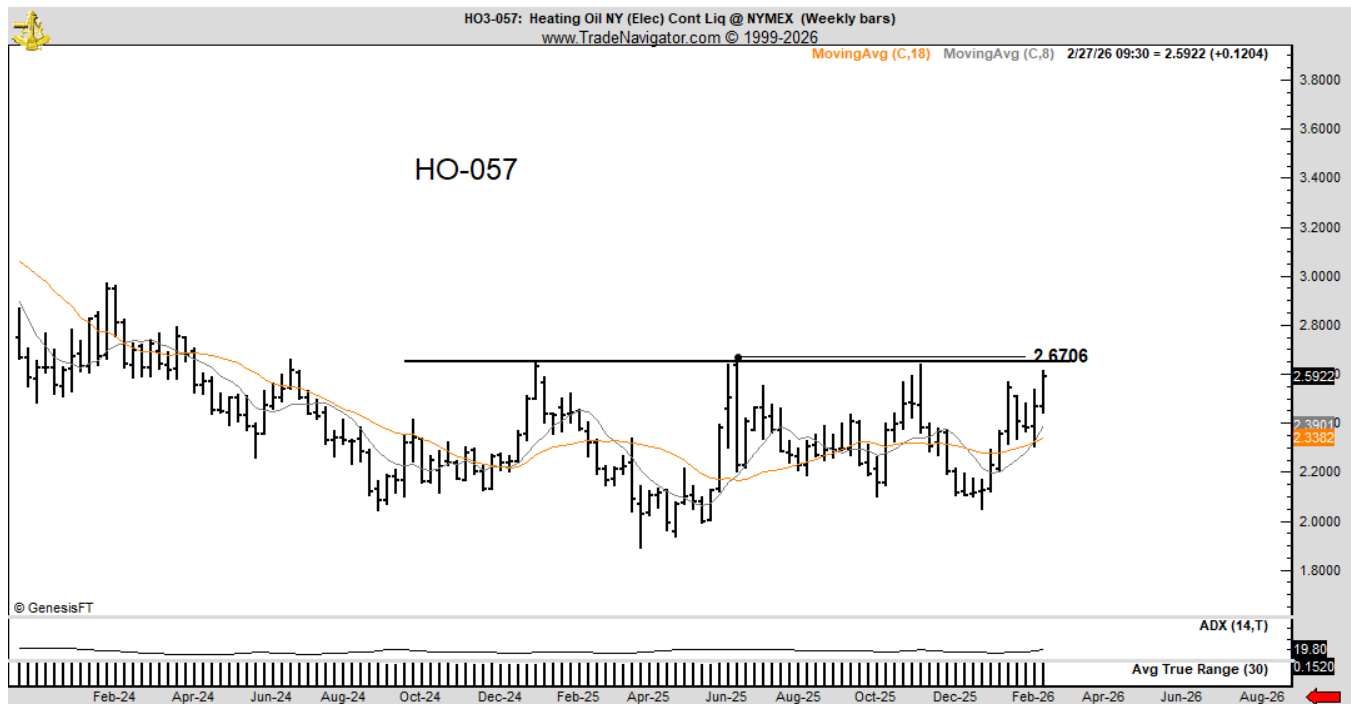
Position	Long one unit (T). I want to buy any meaningful dip (5.75 or so) to add the P unit
Pattern(s) being trades	The weekly chart confirmed a 2-year falling wedge on Feb 18 when the daily continuation chart (not shown) completed a 3-mo Cup and Handle type structure. I should have given the continuation chart more credibility than the chart of the individual contracts. The May contract daily chart completed a HORIZONTAL 7-mo double bottom on Feb 19. This bottom should also be viewed as a modified Chair with Ottoman (the Ottoman being slightly up slanted).
Targeting	6.13, 6.63 and eventually 7.40 if the fundamentals change
Risk strategy	Feb 27 low will be the anchor
Comments	Candidly, I screwed this trade up. It happens. When it happens, we need to move on. Traders need to develop self-forgiveness. Either that or forget to become a trader.



Markets under review for review or curiosity

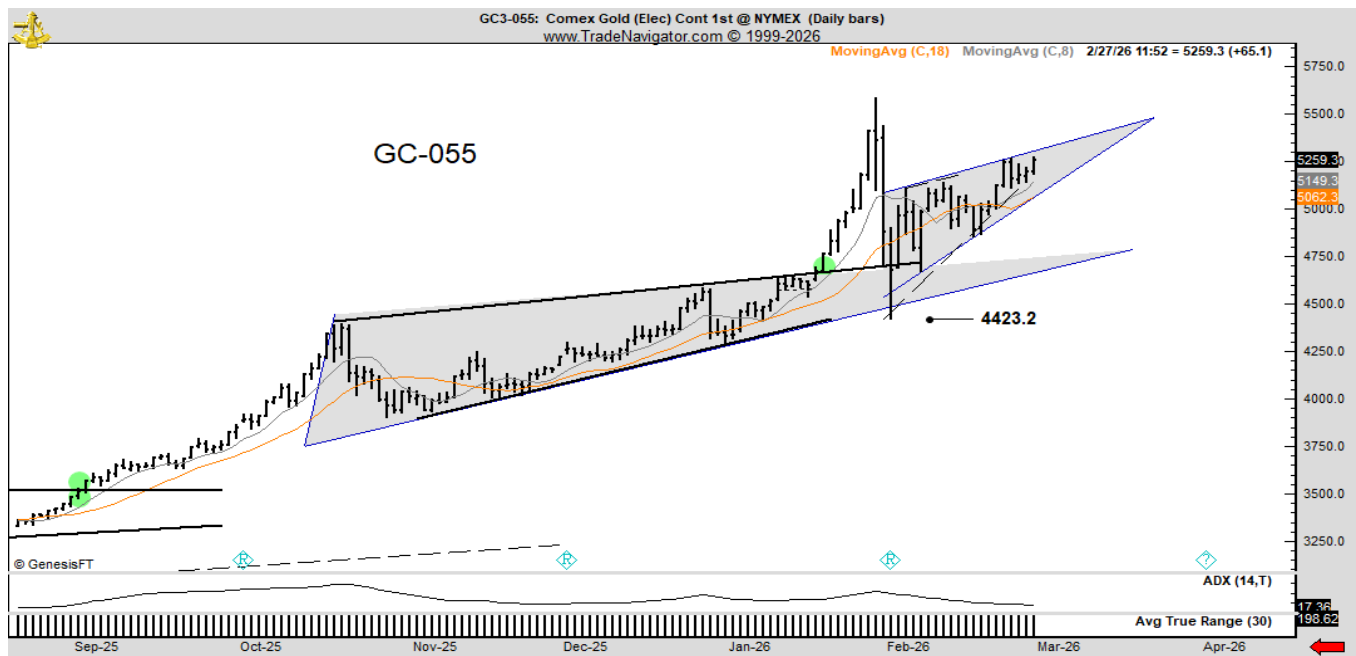
Heating Oil

- A massive complex inverted H&S bottom is forming.
- The May contract has already triggered early entry.
- I unsuccessfully attempted to buy a retest this past week – my orders were too low.
- I will enter stop orders based on the continuation chart. As always, a trader must be careful when buying momentum out of a large chart pattern.



Gold futures

- My long-term view is BULLISH
- A new all-time Friday closing price high was posted in Gold this week
- I consider Friday closes to be the most important price of the week – it is the price at which positions must be margined for 48-hours without the ability to control risk. I am emotionally divided between hope (wanting to own much more in my retirement accounts) and fear (thinking I might not get the chance)
- Gold has a well-defined rising wedge on the daily chart. This is normally a corrective pattern – but do NOT NOT bet on it.
- I think Gold has three options:
 - Rising wedge will lead to a retest of the mid \$4ks
 - Rising wedge will become a running wedge and launch the next thrust upwards



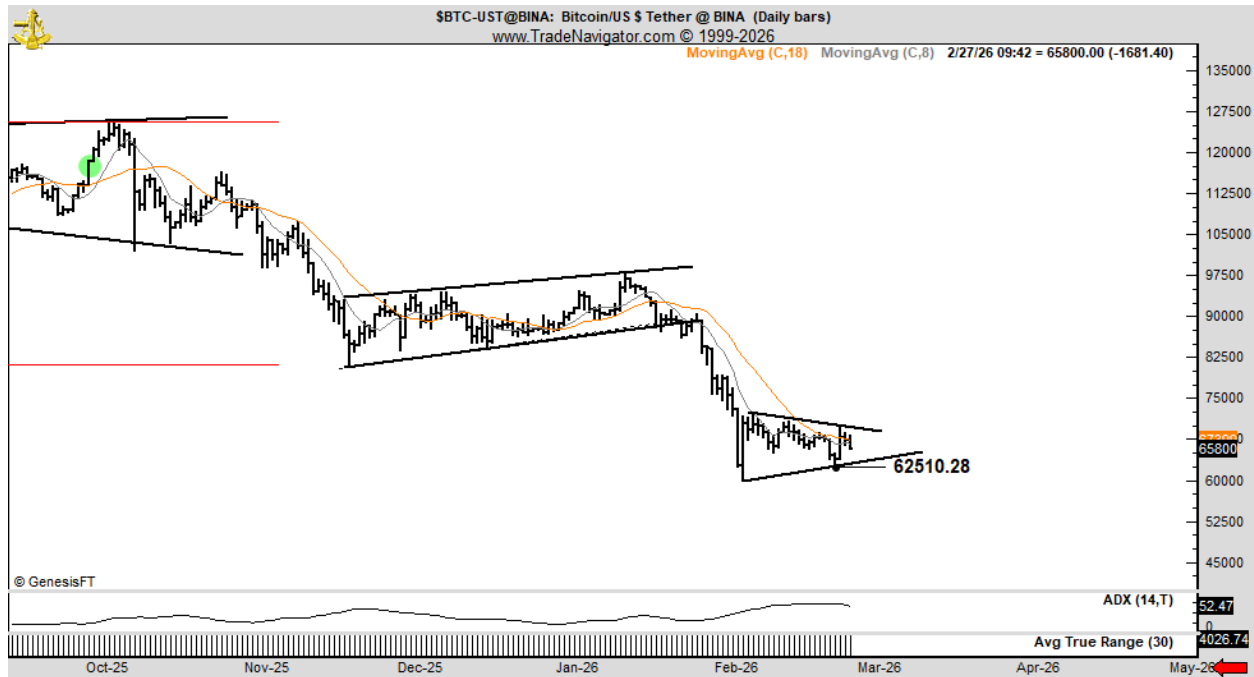
Platinum etf

- The chart exhibits a clear H&S top that should NOT be trusted
- This pattern could become a H&S failure leading to new highs for the bull trend



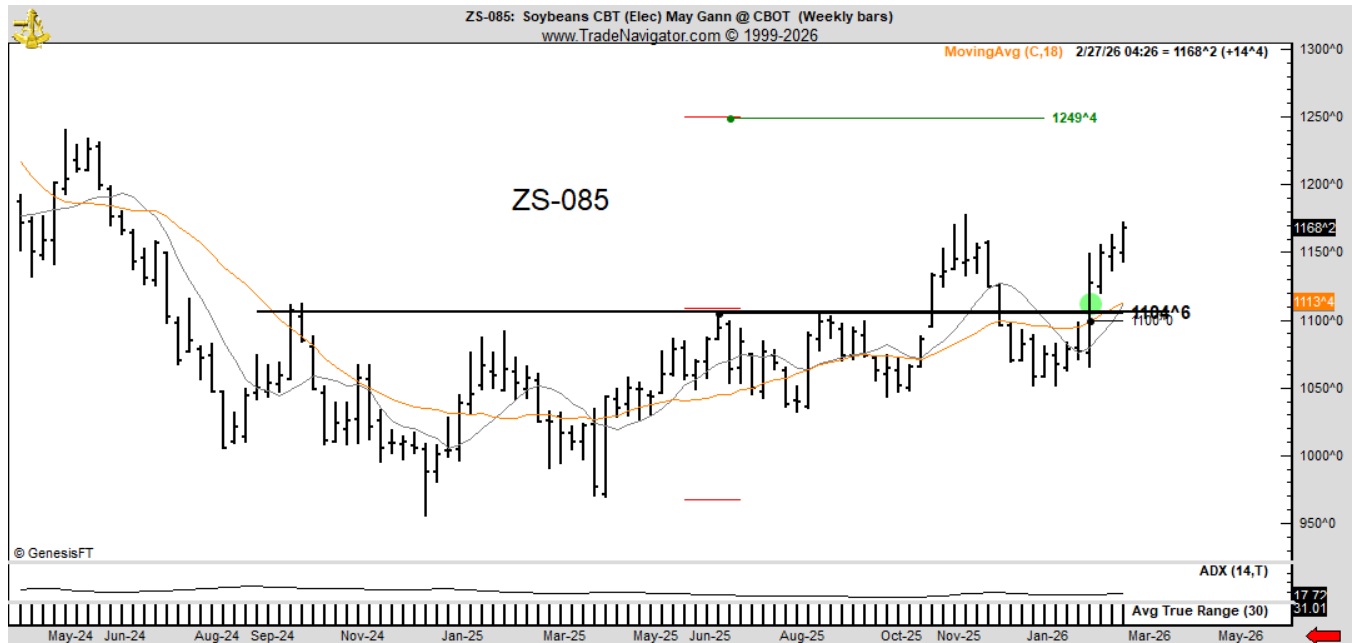
Bitcoin

- I will trade shorter-term patterns when they form in the context of a strong sustained trend that has further targets.
- This is the case with BTC.
- I will consider the short side of BTC for a swing trade if the current pennant is completed.



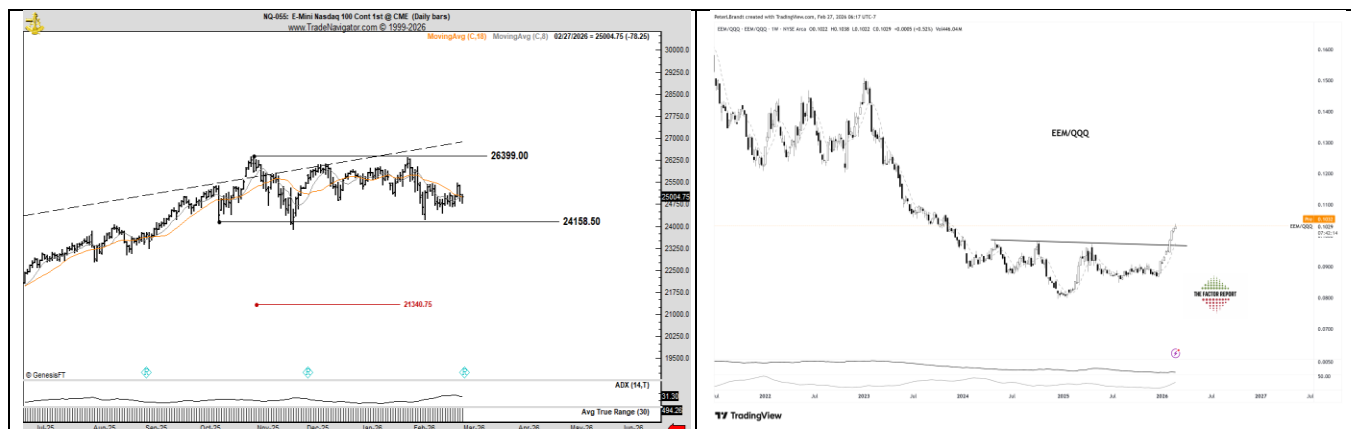
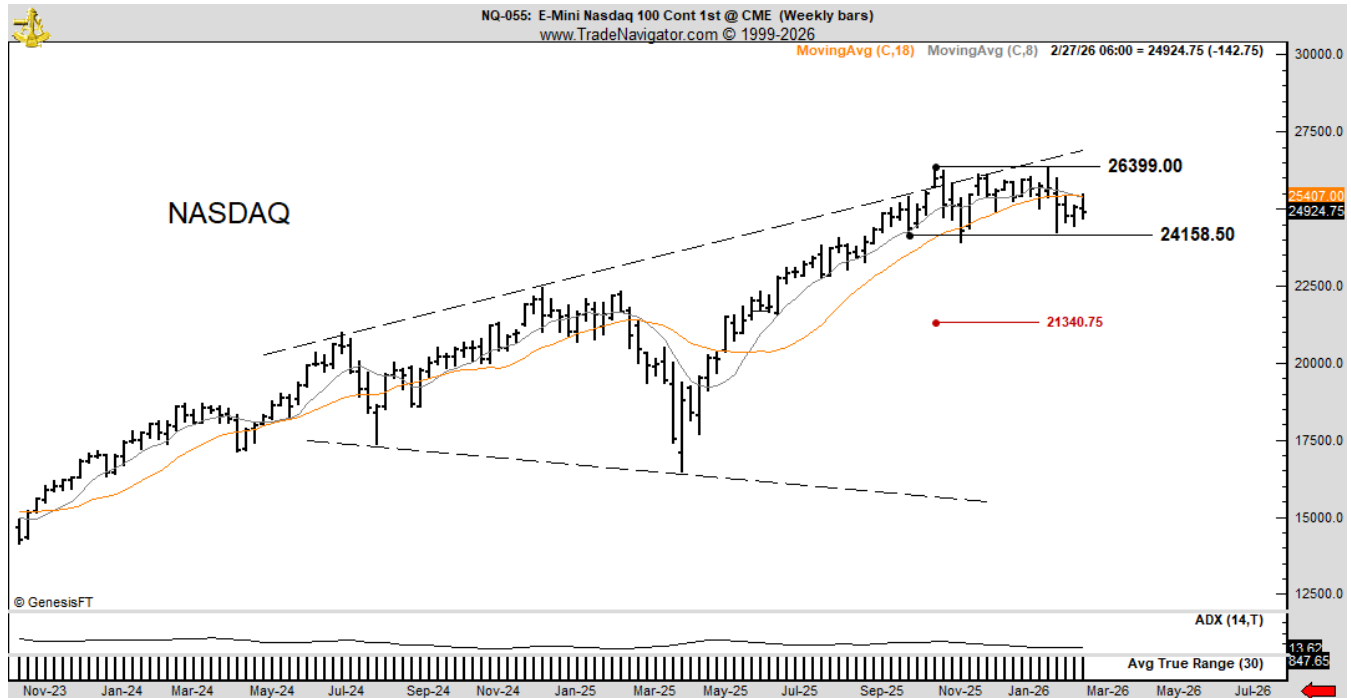
Soybean futures

- The May Gann chart is shown. A significant breakout has occurred
- This is one I missed



Stock indexes

- I continue to note the massive 22-mo broadening pattern in NASDAQ
- Price is near the upper boundary of this pattern – this can be considered supply
- The daily chart displays a possible topping pattern
- A blow-off through the upper boundary cannot be ruled out
- The EEM/QQQ ratio has a MAJOR inverted H&S bottom. This ratio could experience a 5X advance favoring emerging markets



Trades exited during the week ending February 27, 2026

- Chopped out of KC Wheat but re-entered a unit

For the video version of this Factor Update Video click here:

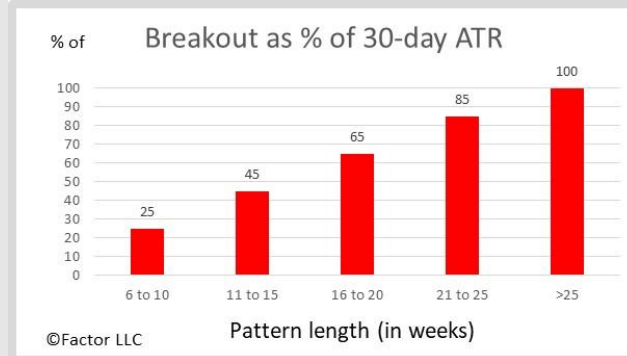
Focus is on interest rates only

<https://www.loom.com/share/0972ff82df524f62b763c87c292ece8f>

Just a reminder about ATR breakout levels

To determine an entry stop order I undergo the following process:

1. Identify the breakout level (e.g., a right shoulder high of a H&S bottom)
2. Determine the length of the pattern (in **weeks**)
3. Find the 30-day ATR of the latest day within the pattern
4. Multiply the 30-day ATR by the appropriate % of the weekly length of the pattern (e.g., the adjusted ATR for a 13-week H&S bottom would be 45% of the 30-day ATR)
5. Add (long pattern)/subtract (short pattern) the adjusted 30-day ATR to the breakout level. This becomes the entry stop level.



Trading commentary – Swing trading

People have different definitions. As for myself as a swing trader in the futures markets, swing trading looks like this:

- Positions held from a few days (for losses) to a few weeks and even a few months in rare exceptions.
- Intent is to catch sustainable short-term trends and then move onto the next trade.
- Targets on trades are seldom more than 10-15% of the underlying asset value.

I evolved as a swing trader for three major reasons:

- As a new trader with limited capital, I could not afford to tie up trading capital in markets that were not moving.
- I hate having to make the same dollar again. Risk-adjusted RORs is my compulsion. I like to make profits – I hate giving money back (I am referring here to closed trade NAV).
- Trading was the source of my living starting in 1981. I had to take money from my account to pay bills. The possibility of 50% drawdowns was something I had to purge from my trading approach.

Why my focus is on Profit Factor, Calmar and limited drawdowns rather than on maximizing ROR?

It's easy folks. If you shoot for the moon to upwardly explode the value of your trading account, then plan for the to make the same \$\$ over and over and over again. It is far easier to build the value of an account in increments over time by holding onto to gains. It is easy to make money trading – the challenge is to keep what you make.

Factor's trading approach in a nutshell

- Futures are the ideal asset class for swing trading
- Identify clear classical chart patterns (preferably on weekly charts and most preferably horizontal patterns)
- Enter with ATR breakout stops
- Risk no more than 35 to 40 basis points per unit (70 to 80 BPs per trade)
- Protect open profits (if they develop) like a banshee
- Try to achieve a BE trade within a week or so
- Take at least partial profits at targets

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